economies, the Chinese leadership has realized that China is more likely to achieve its objectives in international bargains if it bands together with others with similar positions. Beyond the common aversions among the BRICS discussed previously, the Chinese leadership hopes to leverage its power to its advantage, both in achieving its goal of fairer distribution of voices in global governance[43] and in creating a more favorable global economic environment, as the country, along with the other BRICS, faces the so-called middle-income trap of slower growth and excess capacity.

The G20, within which multiple developing countries (including all the BRICS) are represented, is a particularly ripe environment for such a strategy, as it allows China to claim to represent the interests of all developing and emerging countries.[44] In the early years of the enhanced G20 process that has been in place since 2008, there was a concern that China, along with other newly integrated emerging powers such as India, Russia, and Brazil, would become a veto player, conflicting with the interests and preferences of the industrialized economies in dealing with issues such as the global financial crisis and its aftermath. Although the Chinese leadership remains critical of how the international financial architecture worked in the past, China has made it clear that, at least thus far, it has no intention of blocking or harming the process.[45] Instead, China hopes to become a sufficiently influential power in the G20 to engage in agenda setting.[46] The global financial crisis thus became the first opportunity for these emerging countries, including China, to influence the process from within the global governance summitry, encouraging the Chinese government to designate the G20 as “the premier forum” for managing the global economy.[47] As discussion on global financial reform continued, the G20 became an important forum to advance developing and emerging countries’ demands, such as the IMF quota reform (Pittsburgh 2009) and the adoption of the Shared Growth Agenda (Seoul 2010).[48]

These new forums are ways through which China extends its reach and influence into the world multilaterally. Through these processes, it has sharpened its financial strategies.[49] By the late 1990s, China has engaged in regional multilateralism via the Chiang Mai Initiative (CMI) in the area of finance, several regional free trade agreements, and the Shanghai Cooperation Organization (SCO) in the security arena. Since then, its bilateral reach had already extended throughout the developing world via